

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

NOTE 33 – FINANCIAL RISK MANAGEMENT *continued*

The Company has the following commitments related to its financial liabilities (US\$'000):

Year ended 31 December 2014	Total	Less than 1 year	1 – 5 years	More than 5 years
Trade and other payable	46,861	46,861	-	-
Accrued expenses	72,333	72,333	-	-
Derivative financial liabilities	130	130		
Credit facilities payments, including interest	<u>147,994</u>	<u>5,502</u>	<u>142,492</u>	-
Total	<u>267,318</u>	<u>124,826</u>	<u>142,492</u>	-

Year ended 31 December 2013	Total	Less than 1 year	1 – 5 years	More than 5 years
Trade and other payable	62,811	62,811	-	-
Accrued expenses	66,273	66,273	-	-
Derivative financial liabilities	366	335	31	-
Credit facilities payments, including interest	<u>37,037</u>	<u>1,600</u>	<u>35,437</u>	-
Total	<u>166,487</u>	<u>131,019</u>	<u>35,468</u>	-

e) **Market Risk**

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: commodity price risk, interest rate risk and foreign currency risk. Financial instruments affected by market risk include loans and borrowings, deposits, trade receivables, trade payables, accrued liabilities and derivative financial instruments.

Commodity Price Risk

The Group is exposed to the risk of fluctuations in prevailing market commodity prices on the mix of oil and gas products it produce.

Commodity Price Risk Sensitivity Analysis

The table below summarises the impact on profit before tax for changes in commodity prices on the fair value of derivative financial instruments. The impact on equity is the same as the impact on profit before tax as these derivative financial instruments have not been designated as hedges and are and therefore adjusted to fair value through profit and loss. The analysis assumes that the crude oil and natural gas price moves \$10 per barrel and \$0.50 per mcf, with all other variables remaining constant, respectively.